

differently in your long/short funds to avoid that trap?

Rob and I directly manage the risk. Although we have a team of six smart technology guys who help us—all smarter than I am—none have any financial background. We purposely picked people who didn't have a financial background because Rob and I wanted to be the portfolio managers. We wanted to create the best portfolio of our longs and shorts subject to various constraints. We wanted to manage our betas on the long and short side. We wanted to limit our concentration in any specific industry group and limit our exposure in any single stock. We have a widely diversified portfolio. In our small-cap portfolio, the largest long position is around 0.6 percent of equity, and the largest short position is even smaller.

How are your long-only equity indexes different from existing indexes?

Most investors have bad choices. Seventy percent of mutual fund managers underperform the market over time, as measured by the S&P 500, primarily because of their fees that reduce the total return. You might think you could do better by trying to find managers among the 30 percent that outperform the market. The problem, however, is that there is no correlation between those who did well in the past 3, 5, or 10 years and those who continue to do well in the future.

Since investors can't predict which 30 percent of the managers will do better than the market, the obvious conclusion is to simply go with an index fund, which has lower cost and is tax efficient. And that makes some sense. But it turns out that most popular indexes, such as the S&P 500 and Russell indexes, are very inefficient because they are market capitalization weighted. In a market capitalization weighted index, the higher the price of a stock, the larger the percentage of the index it will represent. Therefore, by definition, a market capitalization weighted index will automatically own too much of the overpriced stocks and too few of the bargain-priced ones. Of course, equally weighted indexes will also include plenty of valuation errors, but since all stocks are weighted equally, these errors will be random in contrast to the systematic errors inherent in market capitalization weighting.